BUSINESS INSIDER

Debtors in China are placed on a blacklist that prohibits them from flying, buying train tickets, and staying at luxury hotels

Tara Francis Chan
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China luxury car

Kevin Frayer/Getty Images

- **China lists the names and personal details of 8.8 million debt defaulters on a public website.**
- **Those defaulters can't fly or use high-speed trains, book fancy hotels or enroll their children at expensive schools.**
- **Naming and shaming is growing across the country, with automatic messages playing on mobile phones and the names and photos of defaulters being promoted on screens in buses and public lifts.**

China maintains a public blacklist of debtors that effectively restricts their movements and their spending habits.

The country's highest court publishes the names and ID numbers of "dishonest people" on its website and restricts those people from flying domestically, using high-speed trains, or enrolling their children at expensive private schools.

Defaulters are also prevented from staying at hotels with three-stars or more. They also face tougher exams if they want to join the civil service, and are charged higher fees for booking cars. The bans work by linking to a person's ID number. Some people used their passport when travelling to circumvent the ban, but that loophole now appears to be closed.

The site was created by the Supreme People's Court in an attempt to make people comply with verdicts to repay their debts. Restrictions are placed on "high-expenditure consumption" and "consumption not necessary to sustain normal life or businesses" for individual defaulters as well as the legal representatives and CEOs of companies that default.

The list launched in late 2013 with 31,259 names and within two weeks it had been visited 180,000 times.

Since then, 8.8 million debtors have been added to the list.Together, they have been prevented from flying 8.7 million times and denied 3.4 million high-speed train tickets.

Earlier this year one defaulter was fined $15,000 for travelling on a first-class flight while another underwent plastic surgery to try and evade detection by authorities.

The blacklist also limits defaulter's job prospects. Several major employers first check the creditworthiness of job applicants and more than 170,000 people on the list have been denied executive positions.

"It is hoped that by imposing such inconveniences on their daily lives, debtors will be encouraged to pay back the money they owe in a timely manner," the court said in its statement earlier this year.

Provinces are using people's own phones to shame them

Phone Sichuan

Kevin Frayer/Getty Images

In August, a court in the southwest Sichuan Province began leaving recorded messages on the phones of 30 debtors

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SIMPLY WALL ST

The Andersons, Inc.'s (NASDAQ:ANDE) Stock Has Seen Strong Momentum: Does That Call For Deeper Study Of Its Financial Prospects?

Simply Wall St
December 2, 2025 • 3 min read

In this article:

ANDE -1.73%

Andersons' (NASDAQ:ANDE) stock is up by a considerable 28% over the past three months. We wonder if and what role the company's financials play in that price change as a company's

long-term fundamentals usually dictate market outcomes. Particularly, we will be paying attention to Andersons' ROE today.

Return on equity or ROE is a key measure used to assess how efficiently a company's management is utilizing the company's capital. Put another way, it reveals the company's success at turning shareholder investments into profits.

We've found 21 US stocks that are forecast to pay a dividend yield of over 6% next year. See the full list for free.

How Is ROE Calculated?

ROE can be calculated by using the formula:

Return on Equity = Net Profit (from continuing operations) ÷ Shareholders' Equity

So, based on the above formula, the ROE for Andersons is:

8.4% = US$102m ÷ US$1.2b (Based on the trailing twelve months to September 2025).

The 'return' refers to a company's earnings over the last year. So, this means that for every $1 of its shareholder's investments, the company generates a profit of $0.08.

See our latest analysis for Andersons

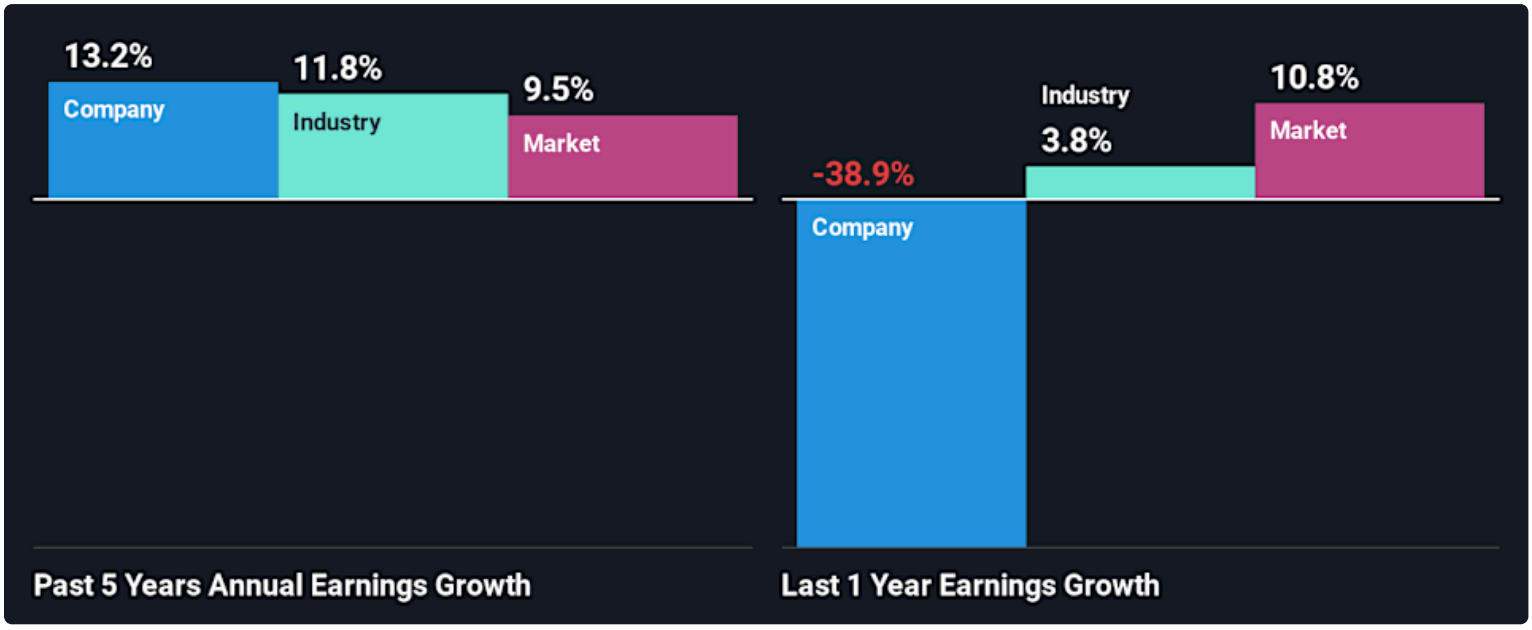
What Is The Relationship Between ROE And Earnings Growth?

So far, we've learned that ROE is a measure of a company's profitability. Depending on how much of these profits the company reinvests or "retains", and how effectively it does so, we are then able to assess a company's earnings growth potential. Assuming all else is equal, companies that have both a higher return on equity and higher profit retention are usually the ones that have a higher growth rate when compared to companies that don't have the same features.

Andersons' Earnings Growth And 8.4% ROE

On the face of it, Andersons' ROE is not much to talk about. We then compared the company's ROE to the broader industry and were disappointed to see that the ROE is lower than the industry average of 15%. However, the moderate 13% net income growth seen by Andersons over the past five years is definitely a positive. So, the growth in the company's earnings could probably have been caused by other variables. For instance, the company has a low payout ratio or is being managed efficiently.

We then performed a comparison between Andersons' net income growth with the industry, which revealed that the company's growth is similar to the average industry growth of 12% in the same 5-year period.



NasdaqGS:ANDE Past Earnings Growth December 2nd 2025

The basis for attaching value to a company is, to a great extent, tied to its earnings growth. What investors need to determine next is if the expected earnings growth, or the lack of it, is already built into the share price. By doing so, they will have an idea if the stock is headed into clear blue waters or if swampy waters await. Is Andersons fairly valued compared to other companies? These 3 valuation measures might help you decide.

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SIMPLY WALL ST

Is There An Opportunity With Riverstone Holdings Limited's (SGX:AP4) 39% Undervaluation?

Simply Wall St
Thu, December 18, 2025 at 4:49 PM GMT+9 • 6 min read

In this article:

AP4.SI

Key Insights

- Using the 2 Stage Free Cash Flow to Equity, Riverstone Holdings fair value estimate is S$1.40
- Riverstone Holdings' S$0.85 share price signals that it might be 39% undervalued
- The RM0.92 analyst price target for AP4 is 34% less than our estimate of fair value

In this article we are going to estimate the intrinsic value of Riverstone Holdings Limited (SGX:AP4) by projecting its future cash flows and then discounting them to today's value. We will take advantage of the Discounted Cash Flow (DCF) model for this purpose. There's really not all that much to it, even though it might appear quite complex.

We would caution that there are many ways of valuing a company and, like the DCF, each technique has advantages and disadvantages in certain scenarios. If you want to learn more about discounted cash flow, the rationale behind this calculation can be read in detail in the Simply Wall St analysis model.

This technology could replace computers: discover the 20 stocks are working to make quantum computing a reality.

Step By Step Through The Calculation

We're using the 2-stage growth model, which simply means we take in account two stages of company's growth. In the initial period the company may have a higher growth rate and the second stage is usually assumed to have a stable growth rate. In the first stage we need to estimate the cash flows to the business over the next ten years. Where possible we use analyst estimates, but when these aren't available we extrapolate the previous free cash flow (FCF) from the last estimate or reported value. We assume companies with shrinking free cash flow will slow their rate of shrinkage, and that companies with growing free cash flow will see their growth rate slow, over this period. We do this to reflect that growth tends to slow more in the early years than it does in later years.

Generally we assume that a dollar today is more valuable than a dollar in the future, so we need to discount the sum of these future cash flows to arrive at a present value estimate:

10-year free cash flow (FCF) estimate

	2026	2027	2028	2029	2030	2031	2032	2033
Levered FCF (MYR, Millions)	RM209.3m	RM242.6m	RM240.1m	RM266.1m	RM281.2m	RM294.4m	RM306.2m	RM31
Growth Rate Estimate Source	Analyst x3	Analyst x3	Analyst x1	Analyst x1	Est @ 5.65%	Est @ 4.70%	Est @ 4.03%	Est @ 3.56%

Present Value (MYR, Millions) Discounted @ 6.5%	RM197	RM214	RM199	RM207	RM205	RM202	RM197	RM19

("Est" = FCF growth rate estimated by Simply Wall St)

Present Value of 10-year Cash Flow (PVCF) = RM2.0b

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SIMPLY WALL ST

SThree (LON:STEM) May Have Issues Allocating Its Capital

Simply Wall St
Wed, December 17, 2025 at 10:28 PM GMT+9 • 3 min read

In this article:

STEM.L ☆

If we want to find a stock that could multiply over the long term, what are the underlying trends we should look for? Ideally, a business will show two trends; firstly a growing *return* on capital employed (ROCE) and secondly, an increasing *amount* of capital employed. If you see this, it typically means it's a company with a great business model and plenty of profitable reinvestment opportunities. However, after briefly looking over the numbers, we don't think **SThree** (LON:STEM) has the makings of a multi-bagger going forward, but let's have a look at why that may be.

We've found 21 US stocks that are forecast to pay a dividend yield of over 6% next year. See the full list for free.

Return On Capital Employed (ROCE): What Is It?

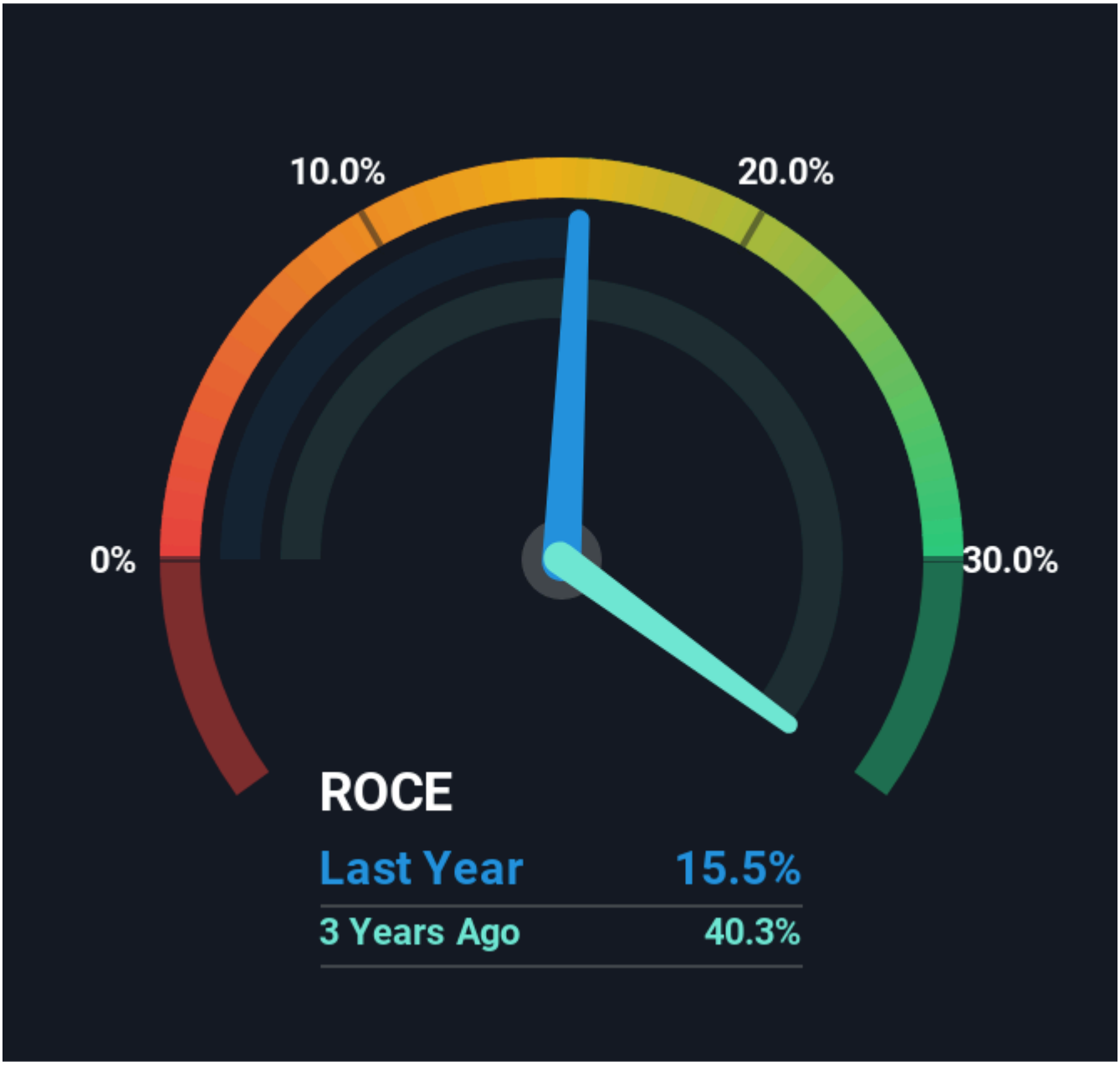
Just to clarify if you're unsure, ROCE is a metric for evaluating how much pre-tax income (in percentage terms) a company earns on the capital invested in its business. Analysts use this formula to calculate it for SThree:

Return on Capital Employed = Earnings Before Interest and Tax (EBIT) ÷ (Total Assets - Current Liabilities)

0.15 = UK£39m ÷ (UK£443m - UK£191m) *(Based on the trailing twelve months to May 2025)*.

Therefore, **SThree has an ROCE of 15%.** That's a pretty standard return and it's in line with the industry average of 15%.

See our latest analysis for SThree



LSE:STEM Return on Capital Employed December 17th 2025

Above you can see how the current ROCE for SThree compares to its prior returns on capital, but there's only so much you can tell from the past. If you'd like to see what analysts are forecasting going forward, you should check out our free analyst report for SThree .

What The Trend Of ROCE Can Tell Us

On the surface, the trend of ROCE at SThree doesn't inspire confidence. Around five years ago the returns on capital were 34%, but since then they've fallen to 15%. Given the business is employing more capital while revenue has slipped, this is a bit concerning. If this were to continue, you might be looking at a company that is trying to reinvest for growth but is actually losing market share since sales haven't increased.

On a related note, SThree has decreased its current liabilities to 43% of total assets. So we could link some of this to the decrease in ROCE. Effectively this means their suppliers or short-term creditors are funding less of the business, which reduces some elements of risk. Since the business is basically funding more of its operations with it's own money, you could argue this has made the business less efficient at generating ROCE. Either way, they're still at a pretty high level, so we'd like to see them fall further if possible.

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SIMPLY WALL ST

Kinatico Ltd's (ASX:KYP) Stock Has Shown Weakness Lately But Financial Prospects Look Decent: Is The Market Wrong?

Simply Wall St
November 30, 2025 • 3 min read

In this article:

KYP.AX

Kinatico (ASX:KYP) has had a rough month with its share price down 22%. However, stock prices are usually driven by a company's financials over the long term, which in this case look pretty respectable. In this article, we decided to focus on Kinatico's ROE.

Return on Equity or ROE is a test of how effectively a company is growing its value and managing investors' money. Put another way, it reveals the company's success at turning shareholder investments into profits.

Trump has pledged to "unleash" American oil and gas and these 15 US stocks have developments that are poised to benefit.

How Do You Calculate Return On Equity?

Return on equity can be calculated by using the formula:

Return on Equity = Net Profit (from continuing operations) ÷ Shareholders' Equity

So, based on the above formula, the ROE for Kinatico is:

4.1% = AU$1.1m ÷ AU$27m (Based on the trailing twelve months to June 2025).

The 'return' is the profit over the last twelve months. That means that for every A$1 worth of shareholders' equity, the company generated A$0.04 in profit.

Check out our latest analysis for Kinatico

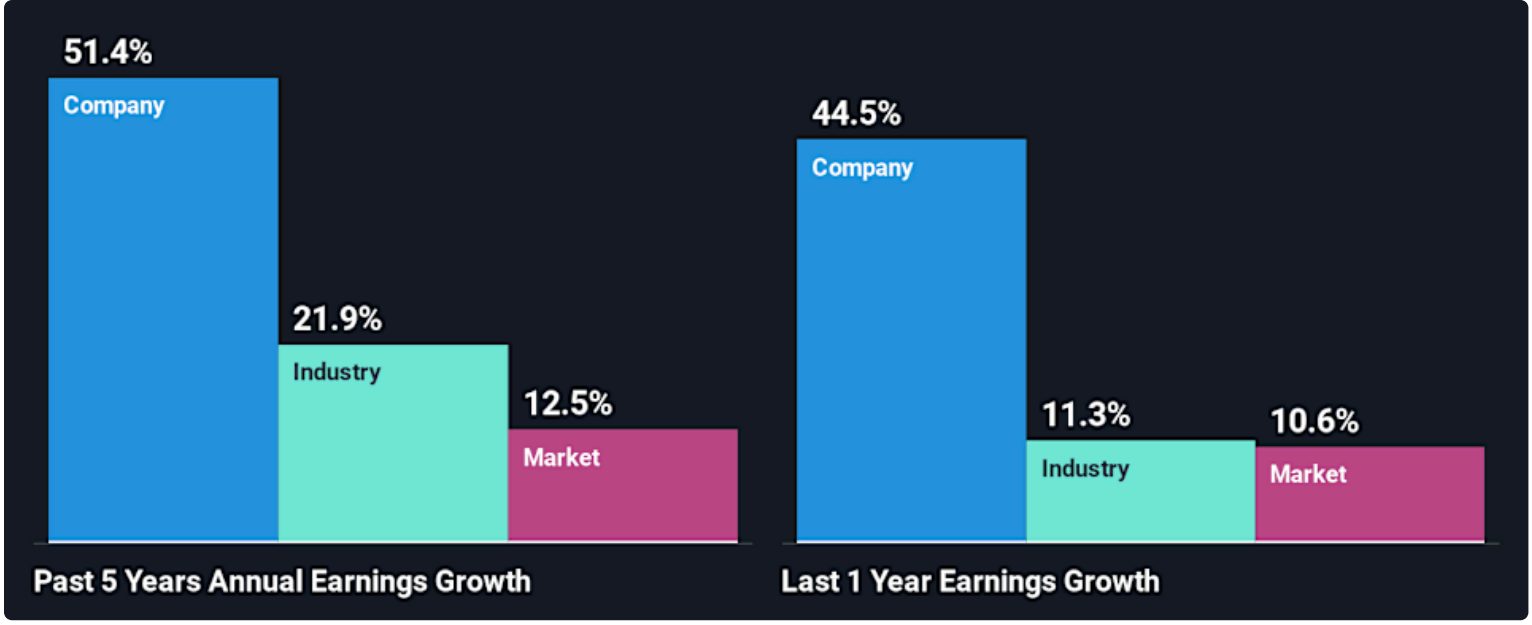
What Has ROE Got To Do With Earnings Growth?

So far, we've learned that ROE is a measure of a company's profitability. We now need to evaluate how much profit the company reinvests or "retains" for future growth which then gives us an idea about the growth potential of the company. Generally speaking, other things being equal, firms with a high return on equity and profit retention, have a higher growth rate than firms that don’t share these attributes.

Kinatico's Earnings Growth And 4.1% ROE

It is hard to argue that Kinatico's ROE is much good in and of itself. Even compared to the average industry ROE of 5.6%, the company's ROE is quite dismal. However, we we're pleasantly surprised to see that Kinatico grew its net income at a significant rate of 51% in the last five years. Therefore, there could be other reasons behind this growth. Such as - high earnings retention or an efficient management in place.

Next, on comparing with the industry net income growth, we found that Kinatico's growth is quite high when compared to the industry average growth of 22% in the same period, which is great to see.



ASX:KYP Past Earnings Growth November 29th 2025

Earnings growth is a huge factor in stock valuation. The investor should try to establish if the expected growth or decline in earnings, whichever the case may be, is priced in. This then helps them determine if the stock is placed for a bright or bleak future. Is KYP fairly valued? This infographic on the company's intrinsic value has everything you need to know.

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SIMPLY WALL ST

Is M1 Kliniken AG's (ETR:M12) Latest Stock Performance A Reflection Of Its Financial Health?

Simply Wall St
December 11, 2025 • 4 min read

In this article:

M12.DE

M1 Kliniken's (ETR:M12) stock is up by a considerable 33% over the past three months. Since the market usually pay for a company's long-term fundamentals, we decided to study the company's key performance indicators to see if they could be influencing the market. Specifically, we decided to study M1 Kliniken's ROE in this article.

Return on equity or ROE is an important factor to be considered by a shareholder because it tells them how effectively their capital is being reinvested. Simply put, it is used to assess the

profitability of a company in relation to its equity capital.

Trump has pledged to "unleash" American oil and gas and these 15 US stocks have developments that are poised to benefit.

How Is ROE Calculated?

The **formula for return on equity** is:

Return on Equity = Net Profit (from continuing operations) ÷ Shareholders' Equity

So, based on the above formula, the ROE for M1 Kliniken is:

13% = €20m ÷ €147m (Based on the trailing twelve months to June 2025).

The 'return' is the income the business earned over the last year. So, this means that for every €1 of its shareholder's investments, the company generates a profit of €0.13.

See our latest analysis for M1 Kliniken

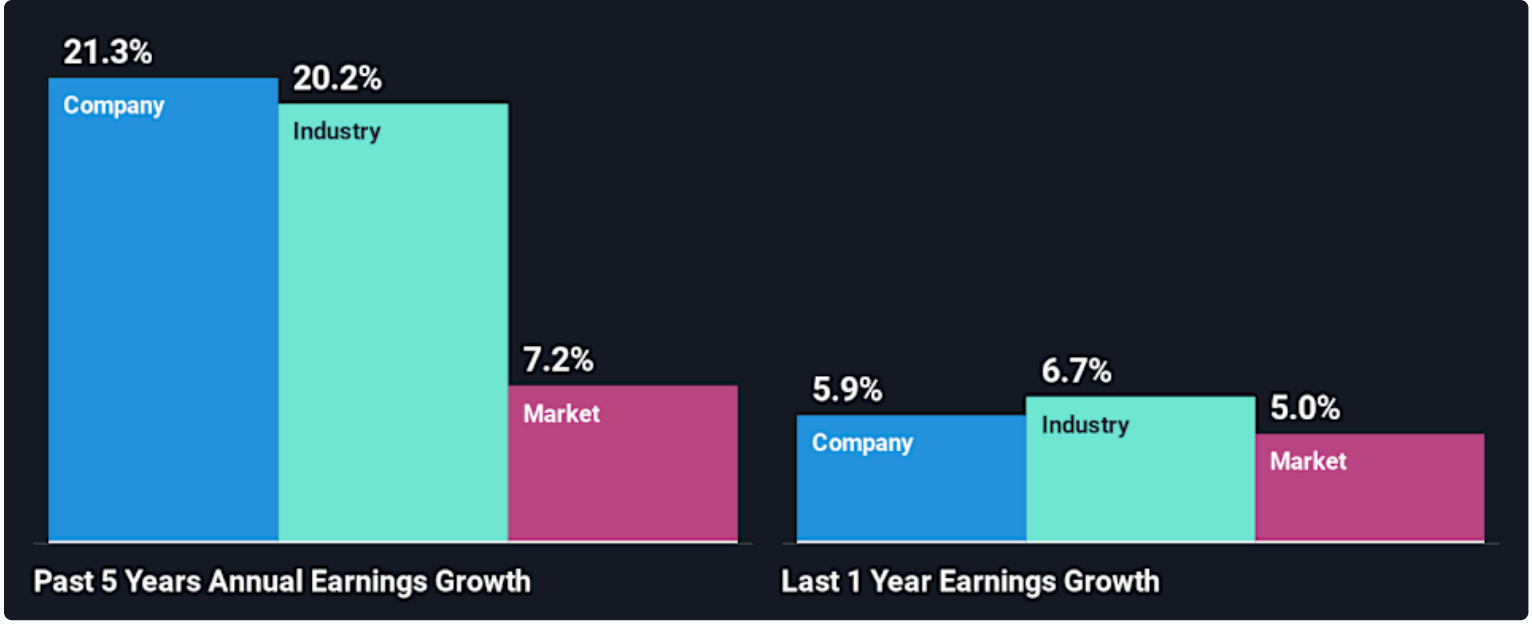
What Has ROE Got To Do With Earnings Growth?

We have already established that ROE serves as an efficient profit-generating gauge for a company's future earnings. Based on how much of its profits the company chooses to reinvest or "retain", we are then able to evaluate a company's future ability to generate profits. Assuming everything else remains unchanged, the higher the ROE and profit retention, the higher the growth rate of a company compared to companies that don't necessarily bear these characteristics.

A Side By Side comparison of M1 Kliniken's Earnings Growth And 13% ROE

To start with, M1 Kliniken's ROE looks acceptable. On comparing with the average industry ROE of 6.2% the company's ROE looks pretty remarkable. This probably laid the ground for M1 Kliniken's significant 21% net income growth seen over the past five years. However, there could also be other causes behind this growth. Such as - high earnings retention or an efficient management in place.

As a next step, we compared M1 Kliniken's net income growth with the industry and found that the company has a similar growth figure when compared with the industry average growth rate of 20% in the same period.



XTRA:M12 Past Earnings Growth December 11th 2025

The basis for attaching value to a company is, to a great extent, tied to its earnings growth. What investors need to determine next is if the expected earnings growth, or the lack of it, is already built into the share price. Doing so will help them establish if the stock's future looks promising or ominous. If you're wondering about M1 Kliniken's's valuation, check out this

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